

Power Dynamics

by Sophia



WHAT'S COVERED

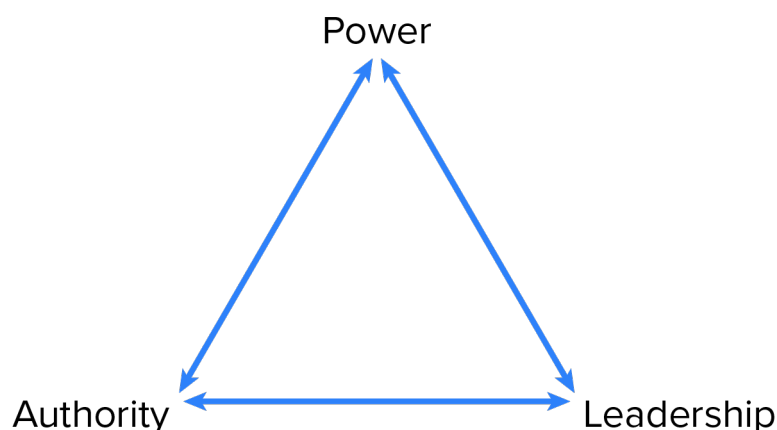
In this lesson, you will learn about the importance of considering power dynamics in making business decisions. Specifically, this lesson will cover:

1. Power in Business

In the last tutorial, we looked at situations where stakeholders were in conflict with one another. In the examples, we considered which group of stakeholders had the most importance. That is, which stakeholder group can compel you to make a decision that you might otherwise not have taken? While in theory we would do the “best thing” ethically, the reality is that we will often meet the demands of the stakeholders in the position to help or harm the business. In short, it is not just about interest and influence, but power.

Numerous definitions of power abound in the literature on organizations. One of the earliest was suggested by Max Weber, the German sociologist, who defined power as “the probability that one actor within a social relationship will be in a position to carry out his own will despite resistance” (Emerson, 1962). Following this and other definitions, we can define **power** for our purposes as a relationship in which one individual (or group) has the ability to cause another individual (or group) to take an action that would not be taken otherwise. It is important to note that in business, we are talking about *implied* force to comply, not actual force.

Clearly, the concept of power is closely related to the concepts of authority and leadership. In fact, power has been referred to by some as “informal authority,” whereas authority has been called “legitimate power.” However, these three concepts are not the same, and important differences among the three should be noted.



As stated, power represents the capacity of one person or group to secure compliance from another person or group. Nothing is said here about the *right* to secure compliance—only the ability. In contrast, **authority** represents the right to seek compliance by others; the exercise of authority is backed by legitimacy. If a manager instructs an office manager to prepare a slide deck for a presentation, they presumably have the authority to make such a request. However, if the same manager asked the secretary to run personal errands, this would be outside the bounds of the legitimate exercise of authority. Although the secretary may still act on this request, the secretary's compliance would be based on power or influence considerations, not authority. Hence, the exercise of authority is based on group acceptance of someone's right to exercise legitimate control. Legitimate control, in turn, comes from the hierarchy of the organization and the tacit consent all staff give by working there. Ideally, it is further legitimized by shared goals and a sense of purpose.

Finally, **leadership** is the ability of one individual to elicit responses from another person that go beyond required or mechanical compliance. It is this aspect of leadership that sets it apart from power and authority. Hence, we often differentiate between authority and leadership. A department head may have the right to require certain actions, whereas a leader has the ability to inspire certain actions. Although both functions may be served by the same individual, such is clearly not always the case.

In the example above, the office manager might have already anticipated and met the manager's needs. They understand and appreciate the manager's goals and are inspired to help them prepare and succeed.



THINK ABOUT IT

Consider the ethical dimensions of this dynamic in a business setting. What obligations does an employee have to someone with authority but no leadership? What are their options if a manager exerts power that is not legitimate? What obligations does a manager have if they find that their authority and leadership can be extended beyond legitimate business goals?



TERMS TO KNOW

Power

A relationship in which one individual (or group) has the ability to cause another individual (or group) to take an action that would not be taken otherwise.

Authority

The right to seek compliance by others; the exercise of authority is backed by legitimacy.

Leadership

The ability of one individual to elicit responses from another person that go beyond required or mechanical compliance.

2. Types of Power

If power is the ability to secure compliance by others, how is such power exercised? On what is it based? At least two efforts have been made to identify the bases of power. One model has been proposed by sociologist Amitai Etzioni, identifying three types of power.

Coercive power involves forcing someone to comply with one's wishes. A prison organization is an example of a coercive organization.



Utilitarian power is power based on performance-reward contingencies; for example, a person will comply with a supervisor in order to receive a pay raise or promotion. Business organizations are thought to be essentially utilitarian organizations.

Finally, **normative power** rests on the beliefs of the members in the right of the organization to govern their behavior. An example here would be a religious organization.



TRY IT

In fact, it is argued that organizations can be classified according to which of the three types of power is most prevalent. Recall the types of business culture from Unit 2. Which power dynamic would you associate with each of these?

Clan Culture

+

While there would inevitably be some utilitarian aspects to a clan culture, this is more likely to be also guided by normative goals, particularly in organizations like schools, hospitals, and service organizations that help people, animals, or the planet.

Adhocracy Culture

+

Most businesses ultimately rely on utilitarian power, the extrinsic motivators that keep staff on task. This is especially true of an adhocracy where the business is driven largely by goals of growth and reward.

Hierarchy Culture

+

While each culture will have a mix of power dynamics, a hierarchy is more likely to use coercive power, with the threat of discipline or loss of employment behind most orders.

Market Culture

+

Most businesses ultimately rely as well on utilitarian power, the extrinsic motivators that keep staff on task. This is especially true of a market where the business is driven largely by goals of maintaining a competitive advantage.



TERMS TO KNOW

Coercive Power

Forcing someone to comply with one's wishes.

Utilitarian Power

Power based on rewards for performance, such as pay raises and promotions.

Normative Power

Power based on common goals and beliefs of an organization.

3. Bases of Power

As we saw above, most business and public organizations rest largely on utilitarian power. A second model of the **bases of power**, developed by social psychologists John French and Bertram Raven, may be more helpful. French and Raven identified five primary ways in which power can be exerted in social situations.

Reward Power is similar to utilitarian power in the Etzioni model. That is, rewards are the extrinsic motivators for compliance, like pay raises and promotions. In some settings (such as union-represented work), these are less effective because pay raises and promotions are regulated and not based on appraisals.

Coercive Power is similar to the concept in the Etzioni model, but the authors elaborate on what it might entail. Coercive power is based primarily on fear. As Kipnis points out, coercive power does not have to rest on the threat of violence. They may use manipulative language or threaten to withhold emotional support. In a business setting, “workplace politics” can often refer to such subtle uses of coercive power as simply not speaking up in support of someone’s proposal or shunning them outside of work hours.

Referent Power refers to personal qualities, characteristics, or reputation that gives a person more influence. Referent power has also been called charismatic power, because allegiance is based on interpersonal attraction of one individual for another. Examples of referent power can be seen in advertising, where companies use celebrities to recommend their products; it is hoped that the star appeal of the person will rub off on the products. In work environments, junior managers often emulate senior managers and assume unnecessarily subservient roles more because of personal admiration than because of respect for authority.

Expert Power is the influence one has due to their knowledge and skill set. In business settings, expert power can be seen in staff specialists like I.T., accountants, and corporate attorneys. In each case, the individual has credibility in a particular—and narrow—area as a result of experience and expertise, and this gives the individual power in that domain.

Legitimate Power is another name for authority, as explained above. A supervisor has a right, for instance, to assign work. Legitimate power differs from reward and coercive power in that it depends on the official position a person holds, and not on his or her relationship with others. Legitimate power can also be acquired through seniority or social structures. For example, in some cultures, an elder might be given more authority due to their age and experience. In the U.S., authority might be given to someone with a prestigious university degree, regardless of their position in the organization.

Informational Power was added to the list later by Bertram Raven. In the modern business setting, the adage “information is power” has never been truer. Simply having access to information or knowledge can give a person substantial power.



TERMS TO KNOW

Reward Power

Power that provides extrinsic motivators for compliance, like pay raises and promotions.

Coercive Power

Power based on fear. It may involve the threat of discipline, the use of manipulative language, or the threat to withhold emotional support.

Referent Power

Power gained through personal qualities, characteristics, or reputation that gives a person more influence; charisma.

Expert Power

Influence one has due to their knowledge and skill set.

Legitimate Power

Another phrase for authority, the official power one has due to rank and position in an organization; may also refer to power gained by cultural structures.

Informational Power

Power one has due to access to privileged information or special knowledge.

4. Ethical Use of Power



How does an understanding of power dynamics help one describe ethical conflicts and make ethical decisions?

We have seen, then, that at least six bases of power can be identified. In each case, the power of the individual rests on a particular attribute of the power holder, the follower, or their relationship. In some cases (e.g., reward power), power rests in the superior; in others (e.g., referent power), power is given to the superior by the subordinate. In all cases, the exercise of power involves subtle and sometimes threatening interpersonal consequences for the parties involved. In fact, when power is exercised, employees have several ways in which to respond.

If the subordinate accepts and identifies with the leader, their behavioral response will probably be one of **commitment**. That is, the subordinate will be motivated to follow the wishes of the leader. This is most likely to happen when the person in charge uses referent or expert power. Under these circumstances, the follower believes in the leader's cause and will exert considerable energies to help the leader succeed.

A second possible response is **compliance**. This occurs most frequently when the subordinate feels the leader has either legitimate power or reward power. Under such circumstances, the follower will comply, either because it is perceived as a duty or because a reward is expected, but commitment or enthusiasm for the project is lacking.

Finally, under conditions of coercive power, subordinates will more than likely use **resistance**. Here, the subordinate sees little reason—either altruistic or material—for cooperating and will often engage in a series of tactics to defeat the leader's efforts.

An ethical use of power will aspire for commitment and only use sole compliance when absolutely necessary, such as using the threat of discipline to enforce legal compliance with a worker who is not meeting minimum expectations. A good illustration of this last strategy can be seen in some companies' responses to early governmental efforts to secure equal opportunities for minorities and women. These companies simply ignored governmental efforts until new regulations forced compliance. We will consider this difficult role of a manager in the next tutorial.



TERMS TO KNOW

Commitment

When the subordinate is motivated to follow the wishes of their leader.

Compliance

When the subordinate will comply with the leader's wishes out of a sense of duty or because a reward is expected.

Resistance

When the subordinate sees little reason for cooperating and does not comply, and may even engage in tactics to defeat the leader's efforts.



SUMMARY

In this lesson, you learned about **power in business**, which includes physical power; authority, which is the power of position; and leadership, which is the power of personality. There are paradigms for **types of power**, such as coercive (threats), utilitarian (rewards), and normative (ethical and moral appeals). **Bases of power** present a more expansive paradigm, including reputation and information. Business leadership involves understanding **how to use and respond to these powers ethically**. With power comes responsibility, and with great power comes great responsibilities. The ability to leverage power to accomplish a task or goal, for example, must always consider the human element, and do no harm.

Source: This content has been adapted from Organizational Behavior at Open Stax. Access for free at openstax.org/books/organizational-behavior/pages/1-introduction

Emerson, R. (1962). Power Dependence Relations. **American Sociological Review** 27, p. 32.



TERMS TO KNOW

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Expert Power

Influence one has due to their knowledge and skill set.

Informational Power

Power one has due to access to privileged information or special knowledge.

Leadership

The ability of one individual to elicit responses from another person that go beyond required or mechanical compliance.

Legitimate Power

Another phrase for authority, the official power one has due to rank and position in an organization; may also refer to power gained by cultural structures.

Normative Power

Power based on common goals and beliefs of an organization.

Power

A relationship in which one individual (or group) has the ability to cause another individual (or group) to take an action that would not be taken otherwise.

Referent Power

Power gained through personal qualities, characteristics, or reputation that gives a person more influence; charisma.

Resistance

When the subordinate sees little reason for cooperating and does not comply, and may even engage in tactics to defeat the leader's efforts.

Reward Power

Power that provides extrinsic motivators for compliance, like pay raises and promotions.

Utilitarian Power

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